IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.1

C.P.(CAA)/28(AHM)2022 in
C.A.(CAA)/3(AHM)2022

Order under Section 230-232

IN THE MATTER OF:
Bikkamal Chhotelal Exim Pvt Ltd **.....Applicant**

Order delivered on: 18/10/2023

Coram:
Mr. Shammi Khan, Hon'ble Member(J)
Mr. Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

BEFORE THE ADJUDICATING AUTHORITY
NATIONAL COMPANY LAW TRIBUNAL
BENCH AT AHMEDABAD
COURT -1

CP (CAA) 28/2022
in
CA (CAA) 3/2022

[*An application filed under Section 230-232 of the Companies Act, 2013 for compromise, arrangements and amalgamations]*

In the Matter of:

Bhikkamal Chhotelal Exim Private Limited
CIN: U61200GJ2009PTC058142
Medimax House,
Opp. Kanavati Hospital, Ellisbridge
Ahmedabad, Gujarat-380006 **.....Applicant Company**

Coram: Shammi Khan Hon'ble Member (J)
Kaushalendra Kumar Singh, Hon'ble Member (T)

Order Pronounced On: 10.2023

Appearance:

For the Applicant : Mr. Navin Pahwa, Sr. Advocate along with
Mr. Tirth Nayak, Advocate.

For the Respondent : Ms. M.A. Gogia, Advocate for State Bank of India
Mr. Yuvraj Thakore, Advocate for Rare Assets Reconstruction Limited

ORDER

1. The present petition has been filed by the petitioner company Bhikkamal Chhotelal Exim Private Limited under Section 230-231 r.w. Section 66 of the Companies Act, 2013 and r.w. Companies (Compromise, Arrangement and Amalgamation) Rules, 2016 for seeking sanction of the

NCLT to the scheme of compromise and arrangement between the petitioner company and their respective shareholders and creditors.

2. The averments made in the petition and as argued by the learned counsels are summarized here as under:

(i) The petitioner company was incorporated on 17.09.2009. Its share capital (issued, subscribed and paid up) as on 30.09.2021 is Rs. 3,20,50,000 (32,65,000 equity share @ 10-/).

(ii) The petitioner company is engaged into business of ship breaking. Due to exigent business circumstances, the petitioner company has been unable to profitably operate in the past few years and as a result of the same the entire capital and net worth has been eroded. This scheme of compromise and arrangement is an attempt to revive the petitioner company *inter alia* proposes to write off of the existing share capital, raise fresh funds, enter into a compromise or/and arrangement and pay off certain creditors and attempt to review and restart the operations of the petitioner company. The statutory auditor of the petitioner company has certified that accounting treatment of the scheme is in conformity with the accounting standards prescribed under section 133 of the Companies Act, 2013.

(iii) The petitioner company is not registered under the Monopolies and Restrictive Trade Practices Act, 1969 and no investigation or proceedings against the petitioner companies under Section 210 to 226 of the Companies Act, 2013 as well Sections 235 to 251 of the Companies Act, 1956 or the like are pending.

(iv) The provisions of the Companies Act, 2002 s not applicable to the present scheme. The provisions of FEMA Act are also not attracted in the present scheme.

(v) The scheme provides for payment of the dues of Operational Creditors in full within a period of 45 days of the coming into effect of this Scheme. The scheme also provides that the other creditors,

whose dues are certain whether accounted by the Company or not, shall be paid an amount of Rs. 15 Lakh to be distributed amongst them as per their outstanding ratio as on the cutoff date; and the same shall be in full and final settlement of their entire dues on coming into effect of this scheme. The scheme provides for payment of the settlement amount within 45 days form the effective date.

(vi) The company proposes to raise additional capital by issue of fresh shares and raise an amount of Rs. 15 Lakh for payment of other creditors. There is no compromise or arrangement in respect of the dues payable to the permanent staff and employee.

(vii) No winding up proceedings are pending against the petitioner company under the Companies Act.

3. It is submitted that the petitioner company had preferred an application CA (CAA) 3 of 2022, wherein this Tribunal had passed an order dated 16.02.2022 *inter alia* giving appropriate directions for convening, holding and conducting the meeting of the equity shareholders, operational/unsecured creditors and other creditors of the petitioner company.

4. It is also submitted that Pursuant to the said order dated 16.02.2022, the notices of meeting were sent individually to the equity shareholders, operational/unsecured creditors and other creditors of the petitioner company on their last available e-mail ID as per the records of the company, and the said notices were also published in the news paper English Daily ("Business Standard") Ahmedabad Edition and Gujarati Translation thereof in "Navgujarat Samay", Ahmedabad Edition. It is stated that in pursuance thereof, respective meetings were conducted by the Chairman, as appointed by this Tribunal. In respect of meetings of the equity shareholders it is stated that out of 7 equity shareholders, 5 shareholders took part in the meeting. Two equity shareholders were present in person and three equity shareholders were present through

proxies. It is stated that all these five shareholders representing 75% of the equity shareholders had casted their vote in favour of the scheme.

5. As regards the meeting for operational/unsecured creditors, it is stated that only two operational creditors/unsecured creditors representing 1.87% of total dues of operational/unsecured creditors were present and casted vote in favour of the scheme. As regards the meeting of the other creditors it is stated that 10 creditors representing 82.39% of the total claim of such creditors were present and casted vote in favour of the scheme. It is submitted that altogether these votes represented approximately Rs. 1415.16 Crores in value.

6. It is submitted that in pursuance to the notice given to the RD/RoC a representation dated 15.07.2022 has been made by them which is placed on record. The perusal of the report reflects certain objections/observations. To that the petitioner has also given its reply/clarification by fling an additional affidavit dated 29.07.2022 which is also placed on record. In that affidavit, the petitioner company has also undertaken to comply with all the directions that may be issued by the RoC/RD. The petitioner company has also undertaken to pay the penalty for the same. The issue of fresh equity shares through right issue of 16,32,500 to the existing shareholders has been explained stating that the write issue shall be issued to those equity shareholders whose name appear on the register of the Members on the cutoff date itself which is 01.10.2021. Thus, the fresh infusion will be done by the existing shareholders as on 01.10.2021.

7. As per the balance-sheet as on 31.03.2021, the short-term borrowings are shown as Rs. 9,41,80,385/- trade payables are at Rs. 1,16,559/- other current liabilities are at 30,97,375/- and short-term provisions are at RS. 27,472/-. This altogether is shown as current liabilities totalling to Rs. 9,74,21,791/-. The reserve and surplus is shown at Rs. 11,27,72,017/- whereas the share capital stands at Rs. 3,26,50,000/-. As per the disclosures given by the auditors in notes on

account there are seven shareholders. Their respective shareholding is shown in the table below:

Name of Shareholder	**31st March 2021**		**31st March 2020**	
	No. of Equity Shares	% of shareholding	No. of Equity Shares	% of shareholding
Rishab Kumar Jain	653000	20.00	653000	20.00
Sarvesh Kumari Jain	653000	20.00	653000	20.00
Smt. Anita Jain	653000	20.00	653000	20.00
Smt. Saroj Kumari Jain	326500	10.00	326500	10.00
Rajeev Kumar Balkishan Jain	163250	5.00	163250	5.00
Sanjay Kumar Jain	163250	5.00	163250	5.00
State Bank of India	653000	20.00	653000	20.00
Total	3265000	100.00	3265000	100.00

As per the disclosure given in the notes on account, company had issued corporate guarantees in favour of eight companies/banks. The table below reflects the details of guarantee given in respect of each of such beneficiaries/company/bank.

Sr. No.	**Name of the beneficiary**	**Amount of Guarantee (in Rs.)**
1.	Rare Assent Reconstruction Company	13,94,77,82,000
2.	Union Bank of India	1.96.71.24,957
3.	Indian Overseas Bank	53,05,49,190
4.	Indian Bank	52,27,74,684
5.	Barsa Steel Private Limited	3,63,00,000

6.	Fairland Sales Private Limited	6,50,00,000
7.	Prakash Steel Corporation	80,00,000
8.	Siddhbali Steels & Strips Private Limited	35,00,000

As per the note given therein the amount of guarantee mentioned against the column in SI. No. 1 to 4 were taken from the final claim submitted by the said parties in the CIRP of M/s Sona Alloys Private Limited. In the context, it has been stated that the guarantees were given by the petitioner company in respect of the loans taken by its group company M/s Sona Alloys Private Limited.

8. It is noted from the record that matter was heard earlier and vide order dated 16.01.2023, the petitioner was asked for giving clarification on certain issues. For ready reference the content of the said order seeking clarifications is reproduced here as under: -

Date-16-01-2023 **Clarification**

(1) The instant application was reserved for passing the order, after seeking a clarification vide order dated 06.12.2022 as no details were given in the Scheme as to what was being written off against the proposed extinguished share capital of Rs. 3,26,50,000/-. It was also noted that the other Creditors was shown at 1717.56 Crores (at Page No. 74 of the Application (CP(CAA) 28 of 2022)). A clarification thereon has been filed vide affidavits dated 27.12.2022 and 10.01.2023.

(2) In the context, we have perused the relevant scheme as proposed in CA(CAA) 3 of 2022 and the various documents placed on records in the present petition (CP(CAA) 28 of 2022). We find that further clarification is required on the following points:

(i) Other loans and advances as on 31.03.2020 is shown at Rs. 6,19,69,986/-. This amount has increased to Rs. 9,41,81,603/- as on 31.03.2021 [at page no. 68 of CAA(CAA) 3

of 2022]. This shows raising of fresh unsecured loan in the year 2020-21 of Rs. 3.22 Crores. It is noted from the Scheme that as against these unsecured loans, a payment of Rs. 15,00,000/- is proposed to pay them (proportionately) as full and final settlement. It is noted that company's financial position has been quite unstable for last several years but even then some parties advanced Rs. 3.22 Crore during the Year 2020-21 and as per the Scheme submitted very next year, those parties are being paid a very small amount out of proposed Rs. 15,00,000/. In the context following details must be brought on record:

a) Name and address of the parties who advanced the fresh amount of loan Rs. 3.22 Crore during 2020- 21.

b) Whether those parties had also attended the meeting of the other creditors and took part in voting for approval of the Scheme.

(ii) The list of the Shareholders [at page no. 128 of CA(CAA) 3 of 2022] reflects that SBI is also holding 20% of the shares. From the chairman's report, it is noted that SBI did not participate in voting for approval of the Scheme. Notice appears to have been sent by email. A complete address of the SBI together with email ID may be placed on record so that a notice could be issued to SBI by the Registry in order to ascertain whether they had received the email and consciously absented themselves from attending that meeting. The Petitioner is also required to obtain a confirmation from the Bank as to whether they had received their email under reference.

(iii) The list of other creditors as placed at Schedule-I [at page no. 103 of CA(CAA) 3 of 2022] includes the contingent

liabilities of Rs. 1708.10 Crores on account of personal Guarantee given to following 8 Companies/Banks:

Sl No.	**Particulars**	**Amount**
1.	Rare Asset Reconstruction Company	1394,77,82,000
2.	Union Bank of India	196,71,24,957
3.	Indian Overseas Bank	53,05,49,190
4.	Indian Bank	52,27,74,684
5.	Barsa Steel Private Limited	3,63,00,000
6.	Fairland Sales Private Limited	6,50,00,000
7.	Prakash Steel Corporation	80,00,000
8.	Siddhbali Steels & Strips Private Limited	35,00,000
	Total	**1708,10,30,831**

The Scheme also provides for extinguishing the right of those lenders over the petitioner company on the personal guarantee given by it. The Rs. 15 lakh in all is proposed to the Creditors shown in the Balance Sheet at Rs. 9.41 Crores as well as to these lenders towards the Corporate Guarantee given for an amount over Rs. 1708 Crores. From the Chairman's Report it is noted that the Government Banks namely Union Bank of India, Indian Overseas Bank and Indian Bank have not participated into that meeting for approval of the Scheme. The issue arises as to whether through the Scheme under Section 230-231 such extinguishment of right over the Bank Guarantee could be done at all based on majority votes. We direct the Petitioner Company to place on record the complete address of these three banks along with their email IDs so that notice could be issued by the Registry asking those Banks to be present for the hearing and submit their comments on the proposed Scheme vis-à-vis extinguishment of their right over the personal guarantee given by the Petitioner Company.

(3) The Balance Sheet of the petitioner company reflects a very little assets/net worth of the Company. Let the details be placed on record as to how this Company was in a position to give personal guarantee on the borrowings to such an extent of 1708 Crores. Also, the details as to who were the borrowers and what are the status of those borrower companies as on date.

(4) In view of the above, we release this matter for clarification.

9. In the context replies/clarifications have been given vide additional affidavit which are placed on record. The issue in para 2(i) has been explained saying that the fresh unsecured loan of Rs. 3.22 Crore were given in the year 2020-2021 by the promoters/family members only to pay of the liabilities. As regards the issue raised in para 2(ii), it is noted that State Bank of India, who is holding 20% of the shares had not participated in the voting for approval of the scheme however, after the notices were issued under direction of this Tribunal, the State Bank of India raised its objection. Later by way of affidavit dated 22.06.2023, it has withdrawn its objection that was raised vide its letter dated 24.04.2023 saying that during the pendency of the present petition, the notice No. 1 State Bank of India received letter dated 04.05.2023 for repurchase of the 6,53,000 equity shares @ 1 per share; and that the said offer of the petitioner company was accepted by it. It is also stated therein that the petitioner had deposited Rs. 6,53,000/- on 22.06.2023 and in view of that State Bank of India has issued 'No Objection Certificate' dated 22.06.2023 which is also placed on record.

10. As regards the issue raised in respect of the contingent liability of Rs. 1708.10 Crore on account of personal guarantee given to the eight companies/banks as referred to in para 2 (iii) in the clarification order dated 16.01.2023, it is stated that the scheme has been approved by the majority representing 82.39% representing approximately 1415.16 Crore in value. We have heard the learned senior counsel on the issue. He also referred to certain judicial decisions to support of its contention that the clarifications raised at para 2 of the order dated 16.01.2023 is not within

the jurisdiction of this Tribunal. For ready reference the relevant part of the written submission dated 03.07.2023 made by the petitioner's counsel is reproduced here as under: -

From written submission dated 30.07.2023

E. Clarification raised by this Tribunal:

(i) *The matter was released for clarification vide order dated 16.01.2023. The petitioner company had filed an Additional Affidavit dated 17.01.2023, 18.04.2023 & 21.04.2023 and provided necessary clarifications on the said issues.*

(ii) This Tribunal had inter alia raised following objections: -

(a) Raising of fresh unsecured loans in the year 2020-2021 of Rs. 3.22 Crores.

The petitioner had filed and additional affidavit clarifying the said issue and stated that the same was provided by unsecured creditors i.e., Rishab Kumar Jain, Shree Krishan Ship Breaking Industries and Tulsi Impex Pvt. Ltd and the said unsecured creditors were present in the meeting **(Kindly see Additional Affidavit dated 18.04.2022)**. Moreover, the said parties are associates /members/ family members of the shareholders.

(b) Details including address and email of the State Bank of India as well as 16 other creditors including contingent liabilities of Rs. 1708.10 Crores on account of personal guarantee given petitioner company in their favour.

Petitioner company has filed Additional Affidavit dated 17.01.2023 and a Purshis dated 20.03.2023 submitting the list of shareholders and creditors along with their address and email ids. Notices have been issued by the registry pursuant to order dated 06.03.2023 and by the petitioner pursuant to the order dated 12.04.2023. RARE ARC constituting approximately 81% has appeared and has stated that they do not object to the said scheme. State Bank of India has

appeared and filed objections and thereafter vide order dated 26.06.2023, Purshis of the petit oner dated 26.06.2023 and letter dated 22.06.2023 have withdrawn the said objections. Accordingly, there are no objections to the proposed scheme.

(c) Details and status of the borrower companies for which the petitioner companies have extended the personal guarantees.

The petitioner company had filed details affidavit dated 17.01.2023 and provided clarification on the said issue and sated that as a part of the commercial arrangement, the petitioner company had provided guarantees for Sona Alloys Pvt. Ltd, which is a sister concern of the petitioner company, however the business of the petitioner company is independent and unrelated to that of Sona Alloys Pvt. Ltd.

Power and jurisdiction of the Tribunal in matters relating to sanctioning the scheme.

The petitioner company has filed following list of judgments dated 10.04.2023 pertaining to the interpretation of power and jurisdiction of the Tribunal in sanctioning the scheme.

(a) In **Miheer H. Mafatlal V. Mafatlal Industries (1997) 1 SCC 579**, it was held that the company Court has neither the expertise nor the jurisdiction to delve deep into commercial wisdom exercised by requisite majority. **(Kindly See para 28 and 29 of the Judgment).**

(b) In **Hindustan Lever and Anr. V. State of Maharashtra (2004) 9 SCC 438**, it was held once the Court finds that the parameters set out in Section 394 of the Companies Act have been met then the Court would have no further jurisdiction to sit in appeal over the commercial wisdom of the class of persons who with their eyes open give their approval, even if, in the view of the Court

better scheme cold have been framed. **(Kindly See para 11,12,18 and 32 of the Judgment.)**

(c) **Ritemed Pharma Retail Pvt. Ltd and Anr. V. The official Liquidator and Anr**. 2018 SCC Online NCLAT 235 **(Kindly See Para 25 of the Judgment)**

(d) **MEL Windmills Pvt. Ltd V. Mineral Enterprised Limited and Anr**. 2019 SCC Online NCLAT 900 **(Kindly See Para 5-6 of the Judgment)**

(e) **Accelyst Solutions Pvt**. Ltd. V. Freecharge Payment Technologies Pvt. Ltd 2021 SCC Online NCLAT 548 held that it is settled legal position that while exercising in sanctioning a scheme of amalgamation, the Court would have no jurisdiction to sit in appeal over commercial wisdom of shareholders of the company. (Kindly See Para 12-13 of the Judgment)

In the view of aforesaid, it is submitted that the clarification raised at para 2 of the order dated 16.01.2023 is not within the jurisdiction of this Tribunal.

11. However, we find that that the facts of the matter involved herein is slightly different from the facts of the case relied upon by the learned counsel. Here is the case where the scheme is proposing to extinguish also the entire claim of even all those lenders who had not given their explicit consent either by participating in the meeting or by otherwise. As could be noted creditors include the public banks such as Union Bank of India, Indian Overseas Bank and Indian Bank. Their total claim as stated in the petitioner itself is over Rs. 300 Crores. Thus, the public money worth Rs. 300 Crore is involved. Nothing has been placed on record as to what recoveries could be made by these banks in the CIRP of the borrower company M/s Sona Alloys Private Limited. Here is an attempt through such scheme to extinguish almost the entire claim of those banks also on the strength of vote given by the private companies.

12. We are of the view, that through such schemes the right off only those lenders could be reduced/extinguished who has given their explicit consent. The approval of the scheme which involves extinguishment/reduction of substantial reduction of the right off the public banks against the petitioner company, being the personal/corporate guarantor, would be against the public interest and, therefore, we do not intent to approve such scheme.

13. In the facts stated hereinabove, we rejected the scheme. As a result, the application is **dismissed.**

-Sd- -Sd-

KAUSHALENDRA KUMAR SINGH **SHAMMI KHAN**
MEMBER (TECHNICAL) **MEMBER (JUDICIAL)**
Narendra S. Tomar/Steno

ANNEXURE 'E'

SCHEME OF COMPROMISE/ARRANGEMENT
BETWEEN
BHIKKAMAL CHHOTELAL EXIM PRIVATE LIMITED
AND ITS
CREDITORS AND SHAREHOLDERS

(A) PREAMBLE

This composite Scheme of Compromise/Arrangement hereinafter referred to as'the Scheme' provides for compromise by (i) the Equity Shareholder, (ii) the Operational Creditorsand (iii) the Other Creditors (as referred hereinafter) under provisions of Section 66, 230 to 231 and other relevant provisions of the Companies Act, 2013 in the manner provided herein and for raising of fresh funds by way of Equity Capital to meet the requirement of funds for payments to be made to the Creditors as envisaged in the Scheme.

b) The Scheme also provides for various other matters consequential or otherwise integrally connected herewith.

(B) BACKGROUND AND DESCRIPTION OF THE COMPANIES

Bhikkamal Chhotelal Exim Private Limited (hereinafter referred to as "Company"/"BCEPL") is a company incorporated under the Companies Act, 1956 and governed by the Companies Act, 2013. It is inter alia in the business of ship-breaking. However, the entire sub strata of the Company have been eroded.

(C) OBJECTIVE AND RATIONALE FOR THE SCHEME

Due to exigent business circumstances, BCEPL has been unable to profitably operate in the past few years and as a result of the same the entire capital and net worth of BCEPL has been eroded. Therefore, BCEPL hereby in an attempt to revive the Company, inter alia proposes to write off the existing share capital, raise fresh funds, enter into a compromise and pay off certain creditors and attempt to revive and restart operations.

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

BHIKKAMAL CHHOTELAL EXIM PVT. LTD. BHAVNAGAR

Bhikkamal Chhotelal Exim Pvt. Ltd.

Director.
(RISHAB KUMAR JAIN)
(DIN : 00933473)

PART A
DEFINITIONS AND SHARE CAPITAL

1. DEFINITIONS

In this Scheme of Compromise/Arrangement, unless inconsistent with the subject or context, the following expressions shall have the meanings respectively assigned against them:

1.1 **"Act" or "the Act"** means the Companies Act, 2013, the rules and regulationsmade thereunder and will include any statutory modification or re-enactment thereoffor the time being in force;

1.2 **"Applicable Law(s)"** means any statute, notification, bye laws, rules, regulations,guidelines, rule or common law, policy, code, directives, ordinance, schemes,notices, orders or instructions enacted or issued or sanctioned by any AppropriateAuthority including any modification or re-enactment thereof for the time being inforce;

1.3 **"Appropriate Authority"** means any applicable central, state or local government,legislative body, regulatory, administrative or statutory authority, agency orcommission ordepartment or public or judicial body or authority, including, but notlimited, RegionalDirector, Registrar of Companies and National Company Law Tribunal;

1.4 **"Bhikkamal Chhotelal Exim Private Limited" or "Company" or "BCEPL"** is a private limited company. It is inter alia in the business of ship-breaking having CIN:U61200GJ2009PTC058142, a company incorporated the provisions of Companies Act, 1956 and now governed by the Companies Act, 2013 with its registered office atMedimax House, Opp. Karnavati Hospital Ellisbridge Ahmedabad Gujarat 380006;

1.5 **"Board of Directors" or "Board"** in relation to BCEPL, as the casemay be, means the Board of Directors of BCEPL, and unless repugnant to thesubject, context or meaning thereof, shall be deemed to include every committee(including any committee of directors) or any person authorized by the Board or byany such committee thereof;

1.6 **"Cut Off Date"** means October 1, 2021.

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

BHIKKAMAL CHHOTELAL EXIM (P) LTD. BHAVNAGAR

Bhikkamal Chhotelal Exim Pvt. Ltd.

Director.
(RISHAB KUMAR JAIN)
(DIN : 00933473)

1.7 **"Effective Date" or "coming into effect of this Scheme" or "upon the scheme becoming effective" or "effectiveness of the scheme"** means the dateon which the certified copies of the orders of National Company Law Tribunalsanctioning this Scheme, is filed by BCEPL with the jurisdictionalRegistrar of Company, Gujarat, Ahmedabad.

1.8 **"Equity Capital"**means 32,65,000 Equity Shares of Rs. 10/- each, fully paid up and issued by the Company.

1.9 **"Equity Shareholders"** means shareholder holding Equity Shares of Rs. 10/- each, fully paid up issued by the Company

1.10 **"NCLT"** means the Ahmedabad Bench of the National Company Law Tribunal and the respectiveNational Company Law Appellate Tribunal and or any Court as constituted andauthorized as per the provisions of the Companies Act, 2013 for approving anyscheme of arrangement, compromise or reconstruction of companies under Section230-231 of the Companies Act, 2013;

1.11 **"Operational Creditors"** meansTrade Creditors or other Current Liabilities incurred by the Company in its ordinary course of business.

1.12 **"Other Creditors"** means all the creditors other than the operational creditors and shall include Banks and Financial Institutions that have lent Secured Financial Assistance to the Company,unsecured lenders who have lent or deposited monies in the nature of unsecured loans or deposits and such other liabilities that may have arisen pursuant any assistance availed by the Company or any corporate guarantee for repayment that may have been given by the Company, whether certain or contingent, or any other contingent liability whether known to the Company or arising in future pertaining to the date upto the cut-off date.

1.13 **"Scheme" or "the Scheme" or "this Scheme"** means this Scheme of Compromise/Arrangement in its present form or with any modification(s) made under Clause 13 of this Scheme as approved or

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

BHIKKAMAL CHHOTELAL EXIM (P) BHAVNAGAR

Bhikkamal Chhotelal Exim Pvt. Ltd.

Director

directed by the NCLT(s) or such other competentauthority, as may be applicable;

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act and other applicable laws, rules, regulations, bye-laws, as the case may be or any statutory modification or re-enactment thereof from time to time.

2. DATE OF TAKING EFFECT

The Scheme set out herein in its present form or with any modification(s) approvedor directed by the Hon'ble NCLT(s) or any amendment(s) made under Clause 13 of this Scheme shall be effective from the Cutoff Date but shall become operativeupon coming into effect of this Scheme.

3. SHARE CAPITAL

3.1 The authorized, issued, subscribed and paid-up share capital of the Company as on latest audited Balance Sheet dated September 30, 2021 is as under:

Particulars	**Amount**
Authorized Share Capital	
33,00,000 Equity Shares of Rs. 10/- each	3,30,00,000
TOTAL	
Issued, Subscribed and Paid-up Share Capital	
32,65,000 Equity Shares of Rs. 10/- each as fully paid up	3,26,50,000
TOTAL	**3,26,50,000**

Subsequent to above, there has been no change in the issued, subscribed and paidup capital of the Company.

Bhikkamal Chhotelal Exim Pvt. Ltd.

Director.
(RISHAB KUMAR JAIN)
(DIN : 00933473)

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

BHIKKAMAL CHHOTELAL EXIM (P) LTD. BHAVNAGAR

PART B

ARRANGEMENT/COMPROMISE WITH THE CREDITORS

The Scheme provides for arrangement / compromise with the creditors, without any other or further act, application or deed, in the following manner:

4. OPERATIONAL CREDITORS

The dues of Operational Creditors shall be paid in full within a period of 45 days of the coming into effect of this Scheme. Any amount paid to the Operational Creditor/s after the Cut off Date and before the Effective Date shall stand adjusted against and/or reduced from the Settlement Amount payable as per the Scheme on coming into effect of this Scheme.

5. OTHER CREDITORS:

a) The Other Creditors,whose dues are certain whether accounted by the Company or not, shall be paid an amount of Rs.15,00,000/- (Rupees Fifteen Lakhs Only) to be distributed amongst them as per their outstanding ratio as on the Cut Off date as illustrated at **Schedule I** hereto. The same shall be in full and final settlement of their entire dues on coming into effect of this Scheme. The Settlement Amount shall be paid within Forty Five days from the Effective Date.

b) Any amount paid to the Other Creditor/s after the Cut off Date and before the Effective Date shall stand adjusted against and/or reduced from the Settlement Amount payable as per the Scheme on coming into effect of this Scheme.

6. SOURCES FOR PAYMENT OF DUES TO CREDITORS

a) Pursuant to this Scheme of Compromise/Arrangement, the Company proposes raise additional capital by issue of fresh shares and raise an amount of Rs. 15,00,000/- (Rupees Fifteen Lakhs Only) for payment to Other Creditors.

b) The amount payable to the Operational Creditors is proposed to be raised by sale of machinery, stock and other movable properties.

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

BHIKKAMAL CHHOTELAL EXIM (P) LTD. BHAVNAGAR

Bhikkamal Chhotelal Exim Pvt. Ltd.

Director.

(RISHAB KUMAR JAIN)

(DIN : 00933473)

7. SAFEGUARD TO CREDITORS

The Promoter-Shareholders shall make necessary contribution in case of any shortfall in payment to the creditors or delay in raising the capital as provided under this Scheme of Compromise/Arrangement.

8. ACCOUNTING TREATMENT

Upon the coming into effect of this Scheme, the Applicant Company shall account for this Scheme of Compromise / Arrangement in its books as per the applicable accounting principles prescribed under Indian Accounting Standard and / or any other applicable standards, as the case may be.

9. STAFF, WORKMEN AND EMPLOYEES

On this Scheme of Compromise/ Arrangement becoming effective, dues of the permanent staff and employees, if any, of the Applicant Company shall remain as it is and shall be duly paid by the Applicant Company. There shall be no compromise or arrangement in respect of the dues payable to the permanent staff and employees.

For Bhikkamal Chhotelal Exim Pvt. Ltd.

Director.
(RISHAB KUMAR JAIN)
(DIN : 00933473)

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BHIKKAMAL CHHOTELAL EXIM (P) LTD. BHAVNAGAR

PART C

REORGANISATION OF CAPITAL

The Scheme provides for reorganisation of the Equity Capital in the following manner:

10. EQUITY SHARE CAPITAL

a) The issued, subscribed and paid-up Equity Share Capital of the Company of Rs. 3,26,50,000/- (Rupees Three Crores Twenty Six Lakhs Fifty Thousands Only) comprising of 32,65,000 (Thirty Two Lakhs Sixty Five Thousands Only)Equity Shares of Rs. 10/- (Rupees Ten) each, fully paid up shall be written off.

b) Upon the Effective Date and inconsideration of cancellation of Equity Share Capital, the existing certificates representing Equity Shares of the face value of Rs. 10/- each held by the Equity Shareholders, whose names appears in the Register of Members as on Record date, shall without further act, application or deed be deemed to have been cancelled.

c) The reorganisation of the Equity Share Capital as aforesaid shall be effected as an integral part of the Scheme itself and no separate act, application, petition or deed would be required in accordance with the Section 66 or any other provisions of the Act, as the same does not involve either the diminution of any liability in respect of unpaid share capital or payment to any shareholder of any paid-Up share capital, and the order of the Court sanctioning the Scheme shall be deemed to be an order under Section 66of the Act-confirming the reduction. The Company will not be required to add the words "and reduced" after its name.

11. ISSUE OF FRESH EQUITY SHARES:

a) Upon the Scheme becoming effective and after reduction of the Equity Capital, as envisaged in this Scheme, the Company shall proceed to make a Rights Issue of Rs. 16,32,500/- (Rupees Sixteen Lakhs Thirty Two Thousands Five Hundred Only) by issuing 1,63,250 (One Lakh Sixty Three Thousand Two Hundred Fifty Only) new Equity Shares of Rupees 10/- (Rupees Ten)each for every 20 existing Equity Share of Rupee 10/- each held by the Equity Shareholders whose names appear on the Register of Members to meet the requirement of funds for payment to the Creditors as envisaged in the Scheme.

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Bhikkamal Chhotelal Exim Pvt. Ltd.

Director

(RISHAB KUMAR JAIN)

(DIN : 00933473)

b). On receipt of the order of approval of this Scheme, the letter of offer shall be forthwith issued to all shareholders. The existing shareholders shall accept the offer within a window period of 15 – 30 days or such other period as may be decided by the board of the company. If, the said offer is not subscribed within the said time period, the same shall be considered declined.

c) All the existing shareholder shall be entitled to apply for aforesaid right issues. In case, any shareholder chooses not to subscribe or has not subscribed within the stipulated time period, the shortfall, if any, may be subscribed by the other existing shareholder(s).

d) Approval of this Scheme by the Shareholders of the Company shall be, without any further act or deed, be deemed to be the due compliance of the relevant provisions of the Act including provisions of Section 62 of the Act and such other regulations as are relevant and applicable for the issue and allotment of New Equity Shares by the Company.

For Bhikkamal Chhotelal Exim Pvt. Ltd.

Director,
(RISHAB KUMAR JAIN)
(DIN : 00933473)

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BHIKKAMAL CHHOTELAL EXIM (P) LTD. BHAVNAGAR

PART D

OTHER TERMS AND CONDITIONS APPLICABLE TO THIS SCHEME

12. APPLICATION TO THE NCLT(s) OR SUCH OTHER COMPETENTAUTHORITY

The Company shall make all necessaryapplications and/or petitions under Sections 230 to 231 of The Companies Act, 2013 and other applicable provisions of the said Act to the NCLT, Ahmedabad for sanction of this Scheme.

13. MODIFICATION / AMENDMENT TO THE SCHEME AND GENERAL POWER TO THE BOARD

The Company, through its Board of Directors, may assent to any alterations/modifications/ amendments to the Scheme or to any conditions or limitation thatthe NCLT and/or any other authority may deem fit to approve, direct or impose orwhich may otherwise be considered necessary, desirable or appropriate by theBoard of Directors of the Company. The Company may withdraw the Scheme ifany alteration/ modification/ amendment thereto is not acceptable to it. The Boardof Directors of the Company shall have authority to take all such steps as may benecessary, desirable or proper to resolve any doubts, difficulties or questions,whether by reason of any directive or order of the Court and/or any authority orotherwise, howsoever arising out of or under or by virtue of the Scheme and/or anymatter concerned or connected therewith.

14. CONDITIONALITY OF THE SCHEME

1. The Scheme is conditional upon and subject to the following:
   a) Approval of the Scheme by the requisite majority of the Operational Creditors,Other Creditors and Equity Shareholders of the Company.
   b) Sanction of the Scheme by the NCLT as provided in section 230 and 231 of theAct and subject to such alterations/ modifications/ amendments, as the NCLTmay deem fit and direct.
   c) Such other sanctions, permissions and approvals as may be required by lawin respect of the Scheme being obtained.
   d) Filing of the necessary certified copies of the said order or orders with theRegistrar of Companies, Gujarat State at Ahmedabad.

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Shikkamal Chhotelal Exim Pvt. Ltd.

Director

2. If any part of this Scheme is found to be unworkable or if implementation of thisScheme is delayed for any reason whatsoever, the same shall not affect the validityor implementation of the other parts and/or provisions of this Scheme or theSettlement Package already approved by the Operational Creditors and Other Creditors. The Company shall have right to implement such part(s) as may be applicable or feasible as acomplete scheme. The decision of the Board of Directors or the Committeeconstituted by the Board of Directors of the Company shall be final and binding in this respect.

15. COSTS

All costs, charges, taxes including duties, levies and all other expenses, if any (save as expressly otherwise agreed), arising out of or incurred in carrying out and implementing this Scheme and matters incidental thereto, shall be borne by the Applicant Company.

Bhikkamal Chhotelal Exim Pvt. Ltd.

Director.
(RISHAB KUMAR JAIN)
(DIN : 00933473)

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BHIKKAMAL CHHOTELAL EXIM (P) LTD. BHAVNAGAR

Schedule I
Ratio for Distribution between other creditors
(As per outstanding on 30/09/2021)

Sr. No.	Name of the Creditor	Amount O/s	% of total O/s
1.	Fair Land Sales Private Limited	43,500,000	0.25%
2.	Rishabh Kumar Jain	357,008	0.00%
3.	A S Ferrum Private Limited	2,500,000	0.01%
4.	Priya Blue Industries Private Limited	2,500,000	0.01%
5.	Rajlaxmi Steel & Corporation	1,000,000	0.01%
6.	Shree Krishna Ship Breaking Industries	25,304,106	0.15%
7.	Tulsi Impex Private Limited	17,400,000	0.10%
8.	Janardan Mineral Exim Private Limited	2,027,651	0.01%
1.	Rare Asset Reconstruction Company	13,947,782,000	81.21%
2.	Union Bank Of India	1,967,124,957	11.45%
3.	Indian Overseas Bank	530,549,190	3.09%
4.	Indian Bank	522,774,684	3.04%
5.	Barsa Steel Private Limited	36,300,000	0.21%
6.	Fairland Sales Private Limited	65,000,000	0.38%
7.	Prakash Steel Corporation	8,000,000	0.05%
8.	Siddhbali Steels & Strips Private Limited	3,500,000	0.02%
TOTAL (A+B)		**17,175,619,596**	**100.00%**

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